19 April 2023

MR. ADRIAN DIMACALI
FINANCE OFFICER
MARY GRACE FOOD CORPORATION
PARANAQUE, METRO MANILA

Dear Mr. Dimacali:

Thank you for your interest to open Mary Grace Cafe' in Ayala Malls Vermosa, Cavite.

We are pleased to inform you of the basic terms and conditions of our proposed land lease for Mary Grace Cafe, which space is more particularly identified in the attached plan (the "Leased Premises").

PARTIES	LESSOR: **Cavite Commercial Towncenter Inc.** LESSEE**: Mary Grace Food Corporation**
LEASED PREMISES	• Location: Ground Floor Central Garden • Land Lease/Lot Area: Approximately **375 sqm** (subject to actual joint Lease re-measurement)
LEASED TERM	• Ten (10) years and Six (6) months • From 01 June2023 to 31 December 2033; renewable annually thereafter under agreed terms and conditions
TURN-OVER DATE	• **01 June 2023**
RENT-FREE PLANNING & CONSTRUCTION PERIOD	• Rent-free period: from **01 June 2023 to 30 September 2023** • Construction plans and designs must be submitted on or before the turn-over date for the Lessor's evaluation and approval. • No. of Floor/Level: Maximum of 1 level; Building Height to be evaluated by the Lessor and within the design guidelines of Ayala Malls Vermosa. • Planning Period: **01 to 30 June 2023** • Start of Construction: **01 July 2023** • Completion of Building & Interiors: **30 September 2023** • Start of Operations: **01 October 2023**
RENTAL COMMENCEMENT	• **01 October 2023 or start of operations whichever is earlier**
MONTHLY RENT CHARGES (exclusive of VAT)	• **01 October 2023 to 31 December 2024 – 5% of Gross Sales** • **01 January 2025 to 31 December 2025 – 6% of Gross Sales** • **01 January 2026 to 31 December 2026 - 7% of Gross Sales** • **01 January 2027 to 31 December 2027 - 8% of Gross Sales** • **01 January 2028 to 31 December 2028 – 8.5% of Gross Sales** • **01 January 2029 to 31 December 2029 – 9% of Gross Sales**

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	• **01 January 2030 to 31 December 2030 – 9.5% of Gross Sales** From the Year 2031 onwards, Monthly Rental Charges shall be subject to rental rate adjustment and rental structure conversion to include the following: **Basic Rent per sqm per month plus 5% of Gross Sales or Minimum Rent; whichever is higher.**
MONTHLY MINIMUM SALES QUOTA	• **P 8,000.00 per sqm per month**
GENERAL COMMON AREA CHARGES (MONTHLY CHARGES)	• **P 140.00** per sqm, plus applicable VAT, commencing upon turn-over • **CUSA** during construction shall be 50% of the standard rate. • Correspondingly, the rate will increase if utilities or service agencies increase their charges.
PERMITS AND TAXES	• Lessee shall bear: (a) all real property taxes in the Building and improvements on the Leased Premises and (b) 100% of the current rate of real property taxes on the Leased Premises;
ADDITIONAL RENT	• The Additional Rent which shall become due from the LESSEE shall equal to the sum of the following amounts determined as follows: (i) 20% of display allowance, goodwill, or premium; (ii) 20% of the difference between fees charged for the performance of services by the LESSEE and the actual cost of such services; and (iii) the difference between 20% of Gross Rental Income and total percentage Rental. Item (i) pertains to all amounts received by the LESSEE from its sub-lessees in payment of any display allowance, goodwill, or premium of any kind. An example will be advertising, a billboard outside the building for a specific consumer product or service. Item (iii) refers to the difference between the amounts received by the LESSEE from its sub-lessees or other persons by reason of the performance by the LESSEE of any service in connection with Leased Premises, whether or not such amounts are received or collected, and whether or not such amounts are expressed in the form of discounts from suppliers such as service. An example would be the reimbursement of certain costs from sub-lessees like common charges, advertising, promotions, etc. The 20% will be applied to the difference between the actual reimbursement and actual expenses. Item (iii) will be the difference between twenty percent (20%) of the Gross Rental Income due to the LESSEE from its sub-lessees when such Gross Rental Income is expressed as a fixed amount or percentage of Gross Sales (or a combination of a fixed amount and a percentage of Gross Sales), and the Percentage Rent due.

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	To illustrate, if the 20% of the fixed rent paid by the sub-lessee to the LESSEE is higher than the 3% or 5% of gross sales of the sub-lessee, the difference will form part of the additional rent.
ADDITIONAL SECURITY	• **Six (6) Months Minimum Rent or P 900,000.00;** payable as follows: **a)** One (1) Month Minimum Rent or **P 150,000.00** payable not later than 14 calendar days upon signing of this term sheet (The Reservation Deposit). The Reservation Deposit shall be applied as part of the Additional Security in the event that the Contract of Lease is signed by the Lessor and the Lessee and is non-refundable if the Lessee cancels its lease after signing the term sheet or if any of the events of default as stated below occurs which entitles the Lessor to cancel the lease. **b)** Two (2) Months Minimum Rent or **P 300,000.00** payable on or before the turn-over date. **c)** Three (3) Months Minimum Rent or **P 450,000.00** payable on or before Rental Commencement Date.
CONSTRUCTION BOND	• **One (1) Month Minimum Rent or P 150,000.00** payable on or before the turn-over date
ANNUAL AD & PROMO CHARGES	• **P 21,000.00 plus applicable VAT** • Subject to annual adjustment
COMPREHENSIVE GENERAL LIABILITY (CGL) INSURANCE	• **Before the construction** Lessee shall be required to secure appropriate Contractor's All Risk Insurance (with Comprehensive General Liability Third Party Liability extension at a minimum amount of P 1,000,000.00 and "broad water damage" coverage) for the duration of the entire construction, demolition or renovation works. • **Before the Start of Operations** **a)** Lessee shall be required to secure (1) Commercial or Property All Risks Insurance with business interruption extension and (2) Comprehensive General or Third Party Liability cover (i.e. fire, water damage, food poisoning) with a minimum limit of P 1,000,000.00 to be renewed annually/yearly for the entire duration of the lease. The insurance cover shall be obtained by the Lessee from BPIMS from any Ayala Land Inc. (ALI) accredited insurance companies and furnish the Lessor with copies thereof as well its subsequent renewals. **b)** Business Operations Insurance must cover loss or damage to property and extend to include among others; Earthquake Fire/Shock, Typhoon, Floor Riot, Strike, and Malicious Damage Extended Coverage (which includes the perils of the smoke, explosion, falling aircraft, and impact of vehicles), Broad Water Damage, Sprinkler Leakage, Accidental Bursting

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	and/or Overflowing of Water Tanks, Pipes, and Apparatus, Landslide/Subsidence, Spontaneous Combustion, Robbery/Burglary.
UTILITY CHARGES	**Utility Charges During Construction** • All utility charges such as Light & Power and Water, during the entire duration of the construction phase be charged to the Lessee based on actual consumption • Installation of sub-meters for said utilities shall be for the account of the lessee **Electricity** • Metered- Consumption to be billed based on meter reading, per month • Sub-meter c/o Lessee **Water** • Metered- Consumption to be billed based on meter reading, per month • Sub-meter c/o Lessee **Telephone** • Lessor to apply directly to the service provider **Sewer** • Maintenance of were lines within the lease premises and/or lines before the main sewer line shall be c/o the Lessee • Monthly charges for the account of the Lessee
DELIVERY OF LEASED PREMISES C/O LESSOR	**Electricity Provisions** • Stub-outs on site (technical details to follow) **Water Provisions** • Stub-outs on site (technical details to follow) **Sewer/Sanitary Provisions** • Stub-outs on site (technical details to follow) **Emergency Power** • Stub-outs on site (technical details to follow)
EQUIPMENT, FACILITIES AND BUILDING SYSTEMS	**Airconditioning System** • To be provided by the Lessee **Fire Detection, Sprinkler & Alarm System** • To be provided by the Lessee, utilizing the mall's accredited contractor to preserve the warranty of the building FDAS

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	• Should be interfaced with the main mall's Fire Detection and Alarm System (FDAS) **Mechanical System** • Lessor to provide stub-out • Lessee to provide the exhaust system • Maintenance of exhaust system c/o Lessee • Smoke Extraction System c/o Lessee
OTHER TERMS AND CONDITIONS	• The Lessee herein shall be subject to the following **a)** Other Terms and Conditions attached to this Term Sheet. **b)** Adherence to the Lessor's Design and Construction Guidelines and House Rules **c)** Mary Grace Café's architectural design and layout must align with the Ayala Malls Vermosa market positioning which caters ABC+ market. Approval on the design scope and parameters shall be approved by the Lessor. **d)** For Food merchants and/or Lessee's with Food Merchants, compliance with the Automatic Fire Suppression System requirement, and the Lessee shall, at its own cost, regularly have its kitchen exhaust cleaned and maintained by the Lessor's accredited contractor. **e)** Agreement to non-exclusivity of concept or items; the Lessor reserves the right to allow the operation of other similar stores or restaurants or food establishments with the same category as that of the Lessee; the Lessor has the right to allow or require other merchants, including the Lessee, to introduce merchandise or menu items carried by the other establishments whether or not available in Ayala Malls Vermosa.
REQUIRED DOCUMENTS	• The Lessee shall submit the following documents within seven (7) calendar days upon signing of this term sheet. **a)** Completed Annex C – List of Items to be sold/Concept Paper **b)** Completed Merchant Information Sheet **c)** Copies of SEC/DTI Certificate of Registration, Articles of Incorporation, and Business Permit; Secretary's Certificate **d)** BIR 2303 (Certificate of Registration); **e)** If Franchisee – Franchise Agreement, signed Tripartite agreement and Franchisor documents; **f)** If Authorized Dealer – Dealership agreement and an endorsement letter from Principal.

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It is understood that the Lessor considers the rent and other charges due hereunder as strictly confidential information and the Lessee hereby agrees not to disclose the same to third parties and not include in its invoices to customers any mention of such rent and other charges payable to the Lessor. Neither shall the other terms hereunder be divulged to any other party unless otherwise required by law, court order, or regulation.

While the terms and conditions herein stated are true and correct as of the date hereof, the same may be amended at the sole discretion of the Lessor, without the need for prior notice and consent of the Lessee.

If the terms and conditions herein and those provided at the back hereof are acceptable to you, kindly signify your interest and conformity by signing each page of this term sheet and on the space provided below, and then please return a signed copy of this letter to us on or before 21 April 2023. Informatively, the leased premises specified herein is simultaneously being offered to other prospective merchants. As such, the Leased Premises shall be awarded to the merchant who submits the signed copy of this term sheet at the earliest time before the date in the immediately preceding sentence expires.

Should you have any queries or require further assistance on this matter, please feel free to communicate with Ma. Cristina A. De Asis through this number 0927-1840457 or at the email address deasistina.almi@ayalamalls.com.

Prepared by:	Endorsed by:	Approved by:	Conforme:
Ma. Cristina De Asis General Manager	Vida Ericka V. Labit Leasing Head	Ma. Veronica I. Arcenas Area Head (South Malls)	Adrian Dimacali Finance Officer

Cavite Commercial Towncenter Inc.
By: _____ Attorneys-in-Fact
_____ Lessee

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OTHER TERMS AND CONDITIONS

The following terms and conditions of the lease form an integral part of and are in addition to those provided on the front page of this letter and shall remain in full force from the time of the execution of this letter until the execution of the lease contract between the parties:

1. Data Privacy – Lessee hereby accepts the terms and conditions provided in the Data Privacy Policy of the Lessor and its parent company (as disclosed on its website: https://www.ayalaland.com.ph/privacy-policy/) and undertakes to, and cause its employees, agents, representatives and assigns to, abide by said terms and conditions as may be necessary for implementing the provisions of this letter. Lessee represents and warrants that its collection, access, use, storage, disposal, and disclosure of any personal information in relation to the transaction contemplated under this letter shall at all times comply with the Data Privacy Act of 2012 and all other applicable data privacy and data protection laws and regulations.

2. Lease Contract – Parties shall be executing a definitive lease contract within the period stated below. The lease contract shall embody the terms of this agreement, among others. It is understood that the terms herein stated are not exclusive and that other terms and conditions governing the lease and operation of an establishment in the Leased Premises shall be included and provided in such lease contract.

3. Payment of Rent – (i) The Reservation Deposit (one-month minimum rent) shall be applied as part of the Security Deposit in the event that the contract of lease is signed by the Lessor and the Lessee and is non-refundable if the Lessee cancels its lease after signing of the term sheet or if any of the events of default as stated below occurs which entitles the Lessor to cancel the lease.
(ii) The due date shall fall at the end of the month. However, if the due date falls on a Saturday, Sunday, or holiday, payment of rent is due on the last working day of the month.
(iii) Outstanding accounts are subject to interest of 1% and a Penalty of 2% per month
(iv) In the event that the Lessee fails to pay the rent and the charges or fees incurred in connection with the supply, consumption, and use of air-conditioning, telephone, telex, facsimile, telecommunications, electricity, water, and other public services and utilities to the Leased Premises for a period of two (2) consecutive months, the Lessor shall have the right to disconnect or discontinue the supply thereof for such period as it shall determine. This right shall be in addition to the rights provided under section 9 below.

4. Fees and Charges – All fees and charges stated in this letter shall be subject to annual adjustment.

5. Compliance with Rules – Lessee shall comply with the Lessor's Design and Construction Guidelines as well as the House Rules and with such rules and regulations as may from time to time be imposed, adopted, introduced, or amended by the Lessor or any of its representatives.

6. Food Merchants – Food merchants are required to comply and provide an Automatic Fire Suppression System and shall at their own cost, regularly have their kitchen exhaust cleaned and maintained by the Lessor's accredited contractor. Furthermore, the Food merchant agrees that its sodas, water, beverages, and ice requirements shall be exclusively supplied by the Lessor and/or its accredited supplier.
7. Alterations, Additions, or Improvements – Realignment, reconfiguration, or upgrade of utilities, any alteration, cut-up, partitioning, addition, or improvement within the Leased Premises required by the Lessee for the conduct of its business shall be subject to the prior written consent of the Lessor and such terms and conditions as may be imposed by the Lessor as it deems fit. All alterations, cut-up, partitioning, realignment, reconfiguration, or upgrade of utilities, additions, or improvements made by the Lessee as well as any alteration, improvement, addition, or installation in or on the Leased Premises shall be done in good workmanlike fashion and at the Lessee's cost.
8. Surrender or Return of the Leased Premises – Upon the expiration or termination of the lease, all alterations, additions, improvements, movable fixtures, and enhancements made or introduced by the Lessee shall be demolished, removed, or dismantled by the Lessee, at its own cost, in a strip to bare condition and in such a way that it will not cause water leak, power interruption, damage or destruction to any improvements introduced by the Lessor in the Leased Premises. Rectification of any damaged portion of the Leased Premises due to the demolition, removal, or dismantling shall be at the expense of the Lessee.
9. Termination of the Lease and Consequences – Lessee's failure to: (i) return to Lessor a signed copy of this letter and submit the documents stated in the latter part of this letter on or before the given date, or (ii) execute a definitive contract of lease within sixty (60) days from the release of the contract of lease to the Lessee or any of its officers,

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employees, agents, representatives or any person found within the Leased Premises, or (iii) strictly comply with any of the abovementioned terms and conditions and perform its obligations under this letter on the dates specified for each, shall be deemed as an event of default and entitle the Lessor to terminate the lease at any time, without need of any judicial action or declaration and without prejudice to the Lessor's right to collect the Lessee's outstanding account and avail of any right or remedy which the Lessor may have under the applicable laws, including the right to forfeit the Lessee's additional security and construction bond.

For this purpose, the Lessee hereby appoints the Lessor as its attorney-in-fact with the following powers and functions, exercisable upon the occurrence of any of the events of default set forth above and shall have the right to (i) open, enter, padlock, secure, enclose or fence in the Leased Premises, and/or discontinue the supply of public utilities and services to the Leased Premises, or otherwise take full and complete physical possession and control of the Leased Premises; (ii) assume ownership and take full control and possession of all alterations, additions, improvements or installations placed in or on the Leased Premises which cannot be removed without defacing or injuring any ceiling, floor, wall or any portion of the building or the Leased Premises, (iii) take an inventory of the equipment, furniture, articles or merchandise found or located in the Leased Premises which may be removed therefrom without defacing or injuring any ceiling, floor, wall or any portion of the building or Leased Premises, place any of the same in storage and charge the Lessee the corresponding storage fees therefor; (iv) in case the Lessee fails to claim said equipment, furniture, articles or merchandise from storage and liquidate any liability to the Lessor within thirty (30) days from the date the Lessor takes possession of the Leased Premises or of the Lessee's personal properties, to dispose of said properties in a public sale and to apply the proceeds thereof to the payment of any liability and/or indebtedness due to the Lessor from the Lessee, including reasonable expenses incurred by the Lessor in connection with such sale, without prejudice to the right of the Lessor to collect the deficiency, if any. The appointment of the Lessor as attorney-in-fact is considered coupled with an interest, and hence is irrevocable.

10. Insurance – Prior to construction, Lessee shall be required to secure appropriate Contractors All Risks Insurance based on the full amount of the construction (with comprehensive third-party liability extension at a minimum amount of P1,000,000) for the duration of the entire construction, demolition or renovation works.

Prior to the start of operations, Lessee shall be required to secure: (1) Commercial or Property All Risks Insurance with business interruption extension and (2) Comprehensive General or Third-Party Liability cover (i.e. fire, water damage, food poising) with a minimum limit of P1,000,000 to be renewed yearly for the entire duration of the lease. The insurance coverage shall be obtained by the Lessee from BPIMS from any Ayala Land Inc. (ALI) accredited insurance companies and shall furnish the LESSOR with copies thereof as well its subsequent renewals.



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